

Features of a Recurring Deposit Account:

RDs are available for tenures ranging from six months to 10 years.

Although it varies from bank to bank, you can start an RD from as little as ₹ 500.

The interest rates of RD are higher than the savings account rates.

Banks typically compound interest every quarter.

You can set up standing instructions so that your installments are automatically deducted from your savings account without your intervention.

With RD, you can also take out a loan, using the deposit as collateral to secure the loan.

